NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 31.01.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No.5/230/AMR/2021			Shanti Alloys Private Limited (Transferor Co.-1) AHS Alloys Private Limited (Transferor Co-2) Vakkal Power Corporation Limited (Transferor Co.-3) Vakkal Impex Private Limited (Transferee Co)

s

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.5/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH,
AT HYDERABAD

CP (CAA) No.5/230/AMR/2021
Connected with
CA (CAA) No.12/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

In the matter of Scheme of Amalgamation of **SHANTI ALLOYS PRIVATE LIMITED; AHS ALLOYS PRIVATE LIMITED; VAKKAL POWER CORPORATION LIMITED**, the Transferor Companies (having its registered office In Andhra Pradesh) with **VAKKAL IMPEX PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

1. Shanthi Alloys Private Limited,
   Plot No.57, APIIC, AP Industrial Infra Corp Area IDA,
   Thumakunta, Hindupur,
   Andhra Pradesh – 515203.
2. AHS Alloys Private Limited,
   S.No.78, Devarapalli Village,
   Hindupur Rural, Anathapur District,
   Andhra Pradesh – 515211.
3. Vakkal Power Corporation Limited,
   S.No.78, Devarapalli Village,
   Hindupur Rural Anathapur District,
   Andhra Pradesh – 515211.

... Petitioners/Transferor Companies

4. Vakkal Impex Private Limited,
   S.No.78, Devarapalli Village,
   Hindupur Rural, Anathapur District,
   Andhra Pradesh – 515211.

... Petitioner/Transferee Company

Date of Pronouncement of Order: 31.01.2022

Coram:

Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Petitioner(s) : Mr. Mahadev Tirunagari, PCS

For Regional Director : Mr.B.Mohanty, ICLS

For Official Liquidator : Mrs. Santoshi Jagirdari, OL

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by Shanti Alloys Private Limited, Thumakunta, Hindupur/Transferor Company No.1, AHS Alloys Private Limited/Transferor Company No.2, Vakkal Power Corporation Limited/Transferor Company No.3 and Vakkal Impex Private Limited/Transferee Company seeking to permit the Transferor Companies to merge with the Transferee Company.

2. Briefly the facts are as follows:

The Transferor and Transferee Companies are the group entities with common promoters, engaged in the same industry and businesses. The merger will result in the consolidation of the business of the companies resulting in expansion of the business and maximization of value for shareholders and all other stakeholders, that would result in reduction of operational costs and pooling and more efficient utilization of the resources to stronger market presence, improved competitive position of the combined entity, to achieve greater efficiency in cash management and unfettered access to cash flows, to enable improved organizational capability and leadership. The appointed date is 01.01.2021. The Board of Directors of all the Transferor Companies and Transferee Company approved their scheme at their respective board meetings held on 24.09.2021. Counsel by way of affidavit supported by Board resolutions was also obtained from all the equity shareholders, secured and unsecured creditors of Transferor and Transferee Companies. The Tribunal by order dated 24.11.2021 dispensed with the

requirement of holding meetings of all shareholders, unsecured creditors of the petitioner company and of secured creditors of Transferor Company-1 and Transferee Company. The scheme of arrangement was approved by the board of directors and others. Notices were issued to all the statutory authorities and objections were received by the Regional Director (RD) and Official Liquidator (OL). The Regional Director (RD) sought this Tribunal to direct the Petitioner to preserve its books of accounts and not to dispose of the same without prior permission of the Central Government and to direct the Petitioner Company to ensure statutory compliance of all applicable laws and to furnish an undertaking that the Transferee Company shall file an application indicating the revised or authorised capital and proof of paying prescribed fees due on revised capital. The Directorate has received a letter from the Official Liquidator (OL) making certain observations. Hence, the Regional Director (RD) sought this Tribunal to direct the Petitioner to comply with the observations of the Official Liquidator (OL). The Transferor and Transferee Companies have not filed their Annual Return and financial statements for the year 2020-2021. Direction was sought to be issued in that regard. The Regional Director (RD) also sought the Tribunal to direct the Petitioner to comply with the provisions of Section 13 of the Companies Act for alteration of its memorandum of association with respect to change of objects by obtaining certificate from concerned Registrar of Companies. It is pointed out that as per company maser data of the Transferee Company there are two open charges i.e., Kotak Mahindra Bank amounting to Rs.8,00,00,000/- and Industrial Development Bank of India Limited amounting to Rs.25,00,00,000/-. The Regional Director (RD) sought for a direction to the Petitioner Transferee Company to furnish the copies of consents from the two secured creditors of the Transferee Company before the scheme is

allowed. As per the profit and loss account attached to the balance sheet as on 31.02.2020 all the Transferor Companies are loss making Companies, which are going to be merged with high profit making company due to which there may be income tax implications, which may be examined by the Income Tax Department. No mention was made in the scheme as to cancellation of holding of Transferor Company No.2 in Transferor Company No.1. The scheme proposes to allot shares to the Transferor Company No.2 for its holding in Transferor Company-1 while praying for dissolution without winding up of the Transferor Company-2. The scheme is silent about cancellation of holding of shares by the Transferor Company-2 in the relevant clause. Hence, a direction was sought to be given to the Petitioner Company to amend the relevant clause of scheme. Accordingly, compliance affidavit was filed by the Petitioner with an undertaking to preserve all the books, to ensure statutory compliance of applicable laws, with regard to filing of order of NCLT confirmation in Form INC-28 and all the companies to file necessary application seeking the revision of authorised share capital of the Transferee Company and pay the differential capital registration fee, if any, to comply with observations made by the Official Liquidator (OL) office to file all the annual returns within the due date by the Petitioner Company for the financial year 2020-2021. It is also stated that the Petitioner Companies obtained extension of time to conduct their annual general meeting till 31.12.2021 from the Registrar of Companies and conducted on 31.12.2021 and they are in the process of filing the annual returns. Regarding the appointment date, it is submitted that it was determined after considering various aspects. The decision is made with commercial wisdom of the company and of its shareholders.

3. With regard to compliance of Section 13 by change of objects after approval of the scheme, reliance was placed on the judgment in the

matter of Receivable Management Service India Private Limited by Delhi High Court and it was prayed that the objects of the Transferor Companies are to be included in the object clause of the Transferee Company and such inclusion is necessary to continue the activity of the Transferee Companies after approval of scheme and from the date of effective date without any further approval or the clearance from the ROC and other regularities. With regard to the term loan of Rs.8,00,00,000/- from Kotak Mahindra Bank it is stated that the amount has been repaid. For the balance amount they obtained No Objection Certificate (NOC) from the proposed scheme. With regard to the open charge in favour of Industrial Developmental Bank of India (IDBI), it is submitted that it was a bill discounting facility/LC backed bill discounted facility sanctioned by the Industrial Developmental Bank of India (IDBI) creating charges by way of hypothecation on trade receivables from the specific customer. However, subsequent to the filing of charge documents, due to unfavourable market conditions the company never supplied any material to the said customer and hence, did not avail any discounting facilities. With regard to the closing of the master data it is submitted that there is a genuine difficulty of identifying the concerned branch of the banker where the paper of sanction limit is lying. With regard to the income tax dues it is stated that the letter sent to the Income Tax Department was returned undelivered. However, it is undertaken that in terms of clause 11.1 upon the scheme becoming effective, legal proceedings if any will be continued in the name of the Transferee Company. It is stated that in pursuance to the direction of Regional Director (RD) annual report, scheme of arrangement has been suitably modified and provided for cancellation of cross holding between the Petitioner Companies. The Regional Director (RD) after considering the said reply by the Petitioner has submitted additional report raising no

further objection. The Official Liquidator (OL) made certain observations which are as follows:

i. The Clause 6(vi) of Part-A and Clause 10.1 of Part B of the Scheme seeks to protect the employees of the Transferor Companies only if they are in service as on the Effective Date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking (on an affidavit duly notarized) to this Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (i.e., 01.01.2021) as well.

ii. In Clause 6.15 of Part-A of the scheme dealing with "Record Date" states that the record date shall be fixed by the Board of Directors of Transferee Company as the date on which the shareholders of the Transferor Companies will be eligible to receive the shares in the Transferee Company as a result of the implementation of the scheme leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Transferee Company alone without the involvement of Transferor Companies. Hence, this Tribunal may be please to direct the Transferee Company to submit an undertaking to this Tribunal to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor & Transferee Companies immediately after sanction of the Scheme and before dissolution of the Transferor Companies on effective date.

iii. The details of mode and manner in which share exchange ratio was arrived at Clause 14 of Part – C of the Scheme are missing in the Valuation Report submitted along with Company Petition.

iv. The Transferor Company – 2 is holding shares in Transferee Company. However, there is no mention/provision for the reduction of share capital of Transferee Company in the Scheme as required under Section 66 of the Companies Act, 2013.

v. The Transferor Company – 2 is holding shares in Transferor Company-1. However, no mention has been made in the scheme as to cancellation of holding of Transferor Company-2 in Transferor Company-1. To the contrary, Clause 14 of the scheme proposes to allot shares to the Transferor Company – 2 for its holding in Transferor Company – 1 while praying for dissolution without winding up of Transferor Company – 2.

vi. There are no proceedings pending under the provisions of the Companies Act, 2013 against the Transferor Companies as per the information provided by them vide letter dated 13.12.2021.

vii. As per the information submitted by the Petitioner Companies vide letter dated 13.12.2021, the companies have not accepted any deposits either under the Companies Act, 2013 or the Companies Act, 1956.

viii. The Transferor Company 1 & 3 are loss making companies getting merged in profit making Transferee Company. Hence, the income tax implication due to merger needs to be examined by the Income Tax Department.

4. The Petitioner have filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator	Response of the Petitioners Companies
1	Clause 6(vi) of Part – A and Clause 10.1 of Part B of the Scheme seeks to protect the employees of the Transferor Companies only if they are in service as on the Effective Date.	Petitioners Companies hereby furnish an undertaking to the Hon'ble Tribunal through this Affidavit that upon the scheme becoming effective

	Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking (on an affidavit duly notarized) to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (i.e. 01.01.2021) as well.	no employees of any of the transferor companies, who are all in service as on the effective date and on appointed date i.e. 01.01.2021, be retrenched by the transferee company.
2	Clause 6.15 of Part-A of the scheme dealing with "Record Date" states that the record date shall be fixed by the Board of Directors of Transferee Company as the date on which the shareholders of the Transferor Companies will be eligible to receive the shares in the Transferee Company as a result of the implementation of the scheme leaving it as undetermined and seeking to vest entire power to fix the record date completely with the Board of Transferee Company alone without the involvement of Transferor Companies. Hence, this Hon'ble Tribunal may be pleased to direct the Transferee Company to submit an undertaking to this Hon'ble Tribunal to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor & Transferee Companies immediately after sanction of the Scheme and before dissolution of the Transferor Companies on effective date.	Petitioners Companies hereby furnish an undertaking before this Hon'ble Tribunal through this affidavit that all the petitioner companies belong to same promoter groups and entire shareholding and control in all the petitioner companies are held and exercised by those promoters. Nonetheless, petitioner companies undertake that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor & Transferee Companies immediately after sanction of the scheme and before dissolution of the Transferor Companies on effective date.
3	The details of mode and manner in which share exchange ratio was arrived at Clause 14 of Part-C of the Scheme are missing in the Valuation Report submitted along	Petitioner Companies would like to submit before the Hon'ble Tribunal that the said details of mode and manner in which share

	with Company Petition.	exchange ratio provided by way of an addendum by the same Registered Valuer is annexed to this affidavit.
4	The Transferor Company – 2 is holding shares in Transferee Company. However, there is no mention/provision for the reduction of share capital of Transferee Company in the scheme as required under Section 66 of the Companies Act, 2013.	Petitioner Companies humbly clarify that, shares held by the Transferor Company No.2 in the share capital of the Transferee Company, upon the scheme coming into effect by order passed by the Hon'ble NCLT, would be cancelled through the accounting process which is an incidental activity of the post-merger activity. Section 66 of the Act is not applicable in terms of explanation appended at the end of the Section 230 which reads as follows: "Explanation-For the removal of doubts, it is hereby declared that the provisions of Section 66 shall not apply to the reduction of share capital effected in pursuance of the order of the Tribunal under this Section" The similar view was taken by the Hon'ble National Company Law Appellate Tribunal in the matter of R. Systems International Limited, NCLAT, New Delhi, 2017.
5	The Transferor Company No.2 is holding shares in Transferor Company-1. However, no mention has been made in the Scheme as to cancellation of holding of Transferor Company-2 in Transferor Company-1. To the	Petitioner Companies humbly clarify that, shares held by the Transferor company -2 in the share capital of the Transferor Company-1, upon the scheme coming into effect by

	contrary, Clause 14 of the Scheme proposes to allot shares to the Transferor Company-2 for its holding in Transferor Company-1 while praying for dissolution without winding up of Transferor Company-2.	order passed by the Hon'ble NCLT, would be cancelled through the accounting process which is an incidental activity of the post-merger activity. Section 66 of the Act is not applicable in terms of explanation appended at the end of the Section 230 which reads as follows: "Explanation- For the removal of doubts, it is hereby declared that the provisions of Section 66 shall not apply to the reduction of share capital effected in pursuance of the order of the Tribunal under this section." The similar view was taken by the Hon'ble National Company Law Appellate Tribunal in the matter of R. Systems International Limited, NCLAT, New Delhi, 2017 where Hon'ble Appellate Tribunal held that "From explanation below Section 230, it will be evident that for passing an order under Section 230 to compromise or make arrangements with the creditors and the members, the provision of Section 66 shall not apply for reduction of share capital. Such order can be passed by the Tribunal under Section 230 of the Act." Hence, Section 66 of the Act is not applicable.
6	There are no proceedings pending under the provisions of the	It is hereby confirmed via this affidavit that there are no

	Companies Act, 2013 against the Transferor Companies as per the information provided by them vide letter dated 13.12.2021.	proceedings pending under the provisions of the Companies Act, 2013 against the Transferor Companies.
7	As per the information submitted by the Petitioner Companies vide letter dated 13.12.2021, the companies have not accepted any deposits either under the Companies Act, 2013 or the Companies Act, 1956.	It is hereby submitted via this affidavit that, the petitioner companies have not accepted any deposit either under the Companies Act, 2013 or the Companies Act, 1956.
8	The Transferor Company 1 & 3 are loss making companies getting merged in profit making Transferee Company. Hence, the income tax implication due to merger needs to be examined by the Income Tax Department.	It is hereby submitted that in terms of clause 11 of the scheme once it becomes effective if any legal proceedings pending by or against any of the Transferor Company will continue in the name of the Transferee Company, and transferee company will be held responsible for complying with the applicable provisions of Income Tax on behalf of all the Transferor Companies.

5. Finally the Official Liquidator (OL) accepted the submissions made by the Petitioners and the representative present physically did not raise any objections for accepting the merger scheme of the Petitioners Companies.

6. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

7. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.469 to 507 at Volume-III of the Petition and addendum to 14.1A filed on 10.01.2022) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.01.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued

in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

8. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.5/230/AMR/2021 is stand disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

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